TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Theories of corporate strategy



Unit 3: Business decisions and strategy
3.3.1 Business objectives and strategy

A revision lesson. Pupils run a car dealership in firms of four and revise theories of corporate strategy on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	**45 min**	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Ansoff strategy

Round 1

You launch a monthly subscription service for your existing customers.

Which Ansoff strategy is this?

- **A** Market penetration
- **B** Product development
- **C** Market development
- **D** Diversification

ANSWER

✓ **Product development**

Why: A new service for existing customers is product development.

2 When quality pays

Round 1

You compete with the best service and longest warranty in town.

Which two must be true for this to pay?

- **A** Buyers choose on price alone
- **B** Buyers will pay more for it
- **C** Rivals find it hard to copy
- **D** Your prices are below rivals'
- **E** Your costs are the lowest in town

ANSWER

✓ **Buyers will pay more for it**

✓ **Rivals find it hard to copy**

Why: A difference pays only if buyers value it and rivals cannot copy it.

3 Rank profit per car

Round 2

Three dealers: their price and cost per car.

Order by profit per car, highest first?

- **A** Price £24,000, cost £21,000
- **B** Price £20,000, cost £16,500
- **C** Price £18,000, cost £14,000

ANSWER

1. **Price £18,000, cost £14,000**
2. **Price £20,000, cost £16,500**
3. **Price £24,000, cost £21,000**

Why: £4,000, £3,500, £3,000: the cheapest dealer earns most per car.

Topic tasks

4 Lowest-cost plan

Round 2

A plan to have the lowest costs in town.

New profit per car?

Price per car now	**£18,500**
Cost per car now	**£15,500**
Price cut	**2%**
Cost cut	**10%**

ANSWER

£4,180

£18,500 × 98% − £15,500 × 90% = £4,180

Why: Lowest costs let you price below rivals and still earn more per car.

5 Where to grow

Round 3

Your share of the local market is 40%, and the market has stopped growing.

Where should you grow, and why?

A In a new region

B Harder in the local market

ANSWER

✓ In a new region

Why: In a flat market where you hold 40%, more sales must come from rivals.

6 Porter: the risk

Round 3

Your costs are above the discount dealer's, and your service is no better than rivals'.

What does Porter call this, and its risk?

A Differentiation: high profit

B Stuck in the middle: low profit

C Cost focus: high profit

D Cost leadership: low profit

ANSWER

✓ Stuck in the middle: low profit

Why: No cost lead and no clear difference: stuck in the middle, with low profit.

Final questions

Each pupil answers 6 final questions on theories of corporate strategy. They come from these 13 questions.

1. A dealer aims to raise market share without cutting its gross profit margin. Which measure best tests both parts?
   ✔ **Compare market share and gross margin with the previous period**

2. A dealer group swaps 'grow quickly' for 'open two profitable North West branches by December 2028'. Why is this objective stronger?
   ✔ **It is specific, measurable and time-bound, so progress can be tested**

3. A dealer group seeks fast regional growth, but its owners also require a minimum liquidity buffer. Strongest planning approach?
   ✔ **Pair the growth target with a cash limit; test scenarios**

4. A border delay halts a critical parts supplier for ten days. Which response separates immediate continuity from longer-term resilience?
   ✔ **Prioritise scarce parts and tell customers now; review suppliers later**

5. A cyber incident disables online workshop bookings. Which operational priority is strongest?
   ✔ **Use a tested manual route; restore safely**

6. An edited video of a sales talk goes viral before the firm knows the full context. Best first public response?
   ✔ **State verified facts and promise an update**

7. A fire closes the group's highest-revenue branch. Which decision principle is strongest in the first 24 hours?
   ✔ **Protect people and keep services going**

8. An online marketplace connects many sellers directly with buyers. Which Five Forces effect most threatens a weakly differentiated traditional dealer?
   ✔ **Buyer power and rivalry may rise**

9. A small dealer cannot match a platform’s scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
   ✔ **Focus on the specialist niche**

10. A dealer group doubles its branches in a year. Sales and profit rise, but it cannot pay suppliers on time. What is this?
    ✔ **Overtrading: growth has outrun its working capital**

Final questions

11 A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?

✔ **A focused EV service niche at small scale**

12 Four town dealerships describe what makes them different. Which statement is a unique selling point?

✔ **"We are the only county garage approved to service these electric vans."**

13 A dealer group writes down what it would do if its main parts supplier stopped trading, though it does not expect that. What is this?

✔ **Contingency planning for a serious but uncertain event**